

Contestant Number: _____

Time: _____

Rank: _____



BUSINESS LAW & ETHICS

(265)

STATE 2021

CONCEPT KNOWLEDGE:

True/False (20 @ 2 point each) _____ (40 points)

Multiple Choice (30 @ 2 points each) _____ (60 points)

TOTAL POINTS _____ (100 points)

Test Time: 60 minutes

GENERAL GUIDELINES:

Failure to adhere to any of the following rules will result in disqualification:

1. Member must hand in this test booklet and all printouts if any. Failure to do so will result in disqualification.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

PART 1 – OBJECTIVE QUESTIONS – True/False

STUDENT DIRECTIONS: True or False Instructions: Mark “A” if the statement is TRUE.
Mark “B” if the statement is FALSE.

1. Criminal Law is litigation filed by the government (prosecution); burden of proof is on the state (government).
A. True
B. False
2. A defendant is a person who begins a lawsuit; the complaining party.
A. True
B. False
3. A misdemeanor is a serious crime for which punishment can be more than one year in prison or death.
A. True
B. False
4. A contract is a binding agreement between parties that creates legally enforceable duties or obligations.
A. True
B. False
5. A tort refers to civil (private) wrong, not arising out of contractual obligations, that a court will give a remedy in the form of an action or damages.
A. True
B. False
6. An assault is conduct that failed to use degree of care necessary for circumstances.
A. True
B. False
7. Private information that is made public that is objectionable by that person is known as invasion of privacy.
A. True
B. False
8. Federal law supersedes local law.
A. True
B. False
9. Slander is the written false and malicious defamation printed for harming an entity.
A. True
B. False

10. Arraignment is charging a person with a crime and asking for that person's plea.
 - A. True
 - B. False
11. Good Samaritan statutes impose liability upon people for refusing to stop at accident scenes.
 - A. True
 - B. False
12. Libel is spoken defamation of character of a person, business, or group, causing the entity to lose esteem of community.
 - A. True
 - B. False
13. A benevolence is the recipient of the proceeds of a life insurance policy.
 - A. True
 - B. False
14. Mute endorsements have no words other than the signature of the endorser.
 - A. True
 - B. False
15. A breach of contract occurs when one of the parties to a contract fails or otherwise refuses to perform the obligation established in that contract.
 - A. True
 - B. False
16. Cashier's checks are the acknowledgment by a bank of a receipt of money with an agreement of repayment.
 - A. True
 - B. False
17. A closed corporation is a designation which applies to a corporation in which outstanding shares of stock and managerial control are held by a limited number of people (often members of the same family).
 - A. True
 - B. False
18. A drawer is the party ordered to pay a draft or check, such as a bank or financial institution.
 - A. True
 - B. False
19. The Sixth Amendment states that "Congress shall make no law...abridging the freedom of speech, or of the press."
 - A. True
 - B. False

20. Compensatory damages refers to an award paid to the injured party to cover the exact amount of their loss, but no more.
- A. True
 - B. False

PART 2 –Multiple Choice

Select the letter of the answer that best answers the question or completes the statement.

21. A court decision upon which courts later rely in similar cases is known as a(n) ____.
- A. precedent
 - B. example
 - C. judicial review
 - D. statutory review
22. Certain contracts, such as those involving the sale of personal property for \$500 or more, ____.
- A. must be orally accepted to be enforceable.
 - B. must be written to be enforceable.
 - C. need not be signed to be enforceable.
 - D. must be divisible in nature.
23. This remedy in civil litigation is designed to make the guilty party fulfill his or her obligation or promise to the injured party.
- A. Compensatory damages
 - B. Punitive damages
 - C. Specific performance
 - D. Injunction
24. A _____ is a rejection of an original offer and the simultaneous making of a new offer.
- A. rejected
 - B. counteroffer
 - C. compromised offer
 - D. failure to close
25. This intentional tort involves reasonable relief that threat of offensive bodily contact.
- A. Assault
 - B. Battery
 - C. False imprisonment
 - D. Nuisance
26. _____ are nominal monetary amounts awarded to recognize that a tort was committed but that no damages occurred.
- A. Punitive damages
 - B. Monetary damages
 - C. Nominal damages
 - D. Financial damages

27. _____ is the wrongful taking of another person's property by a person who is entrusted with that property.
- A. Lapse
 - B. Embezzlement
 - C. Theft
 - D. Counter offer
28. _____ is willful and or malicious damage to property.
- A. Graffiti
 - B. Vandalism
 - C. Obstruction
 - D. Intentional damage
29. A reasonable belief that a crime has been committed is known as _____.
- A. just cause
 - B. reasonable cause
 - C. guilt
 - D. probable cause
30. A formal, written accusation of a crime by a grand jury against an individual is a(n) _____.
- A. indictment
 - B. expectation damages
 - C. account of profits
 - D. nominal damages
31. A _____ is a corporate structure in the United States whereby the owners are *not* personally liable for the company's debts or liabilities.
- A. sole proprietorship
 - B. limited liability corporation
 - C. balanced partnership
 - D. limited partnership
32. The term “holding out” refers to _____.
- A. the principal having legal capacity to enter into contracts.
 - B. authority that is implied by the conduct of the principal, such as paying for the goods.
 - C. authority that is implied by the usual authority given to someone in that position.
 - D. conduct where the principal represents that someone has authority to act as an agent and binds him or her.
33. A(n) _____ occurs when the defendant is brought before the court, formally notified of the charges and asked for a plea to the charges—either guilty or not guilty.
- A. indictment
 - B. bail hearing
 - C. arraignment
 - D. trial

34. A written statement charging the individual committed a crime, usually in less serious crimes such as misdemeanors, is known as _____.
A. information
B. plea bargain
C. plea agreement
D. employee Insurance
35. A(n) _____ a legal document between the supplier and the customer that clearly describes the sold goods, and the amount due on the customer.
A. Bill of Lading
B. Commercial Load
C. Insurance
D. Commercial Invoice
36. The _____ prohibits the selective release of material information about a company.
A. Wall Street
B. Securities & Exchange Commission (SEC)
C. Federal Reserve
D. Social Media
37. The written voluntary statement of facts, confirmed by the oath or affirmation of the party making it and made before a person having the authority to administer the oath or affirmation, is a(n) _____.
A. affidavit
B. constructive dismissal
C. insufficient notice
D. press release
38. The rules controlling procedural matters in civil trials brought before the federal district courts are the _____.
A. local criminal rules
B. Foreign Policy
C. Federal Rules of Criminal Procedure (FRCP)
D. Federal Rules of Civil Procedure (FRCP)
39. The Federal Trade Commission, like most administrative agencies of the federal government, is part of _____.
A. The executive branch of government
B. The legislative branch of government
C. The judicial branch of government
D. The administrative branch of government
40. _____ is the illegal nonpayment or underpayment of tax.
A. Tax encryption
B. Tax evasion
C. Corruption
D. Avoidance

41. You find a laptop in the employee parking lot of your employer's property. If you *cannot* find the rightful owner of the laptop, the laptop will _____.
A. belong to you as the finder because it was found on public property.
B. belong to the employer because it was found on your employer's property.
C. belong to you because it was found on the private part of the employer's property.
D. belong to you no matter what because you found the laptop.
42. The form of intellectual property that gives its owner the legal right to exclude others from making, using, selling and importing an invention for a limited period of years, in exchange for publishing an enabling public disclosure of the invention.
A. Copyrights
B. Trademarks
C. Patents
D. Intellectual property
43. The refutation of evidence that is introduced by an adverse party's attorney is known as _____.
A. rebuttal
B. opening statement
C. tort
D. testimony
44. A contract that imposes no obligations on the parties involved is known as _____.
A. unenforceable contract
B. valid contract
C. implied contract
D. verbal contract
45. In an action for negligence, there must be a close and direct connection between the parties. This refers to _____.
A. Proximity
B. Reasonable foreseeability
C. Policy grounds
D. The neighbor principle
46. _____ limit(s) the liability of one party to the contract by either excusing liability completely for certain things or by limiting liability to a fixed dollar amount.
A. Exemption clauses
B. Just clause
C. Federal laws
D. Employees owed wages

47. When one party inadvertently uses the wrong words in stating the contract, the contract is _____.
A. void
B. binding on the party making the mistake
C. binding on the party making the mistake only if it was reasonable for the other party to rely on the inadvertent words and enter the contract
D. voidable by the party making the mistake
48. _____ is a duty to “act honestly and in good faith with a view to the best interests of the corporation.”
A. Duty of care
B. Fiduciary duty
C. Professional
D. Honesty
49. The amount received by a corporation for the issue of its shares is referred to as _____.
A. authorized capital
B. stated capital
C. loaned capital
D. issued capital
50. _____ is required to protect against the hazards associated with shipment of goods.
A. Insurance
B. Bill of lading
C. Postage stamp
D. Hazard sticker